triangle. The volume pattern is unusual for a descending triangle. Normally, volume recedes as the breakout approaches, but this one appears to have a U-shaped trend—higher at the beginning and end and lower in the center. The breakout is downward and occurs on low volume.

A bearish breakout can have high or low volume, but volume is usually heavy. After the breakout, price pulls back to the triangle boundary before continuing down.

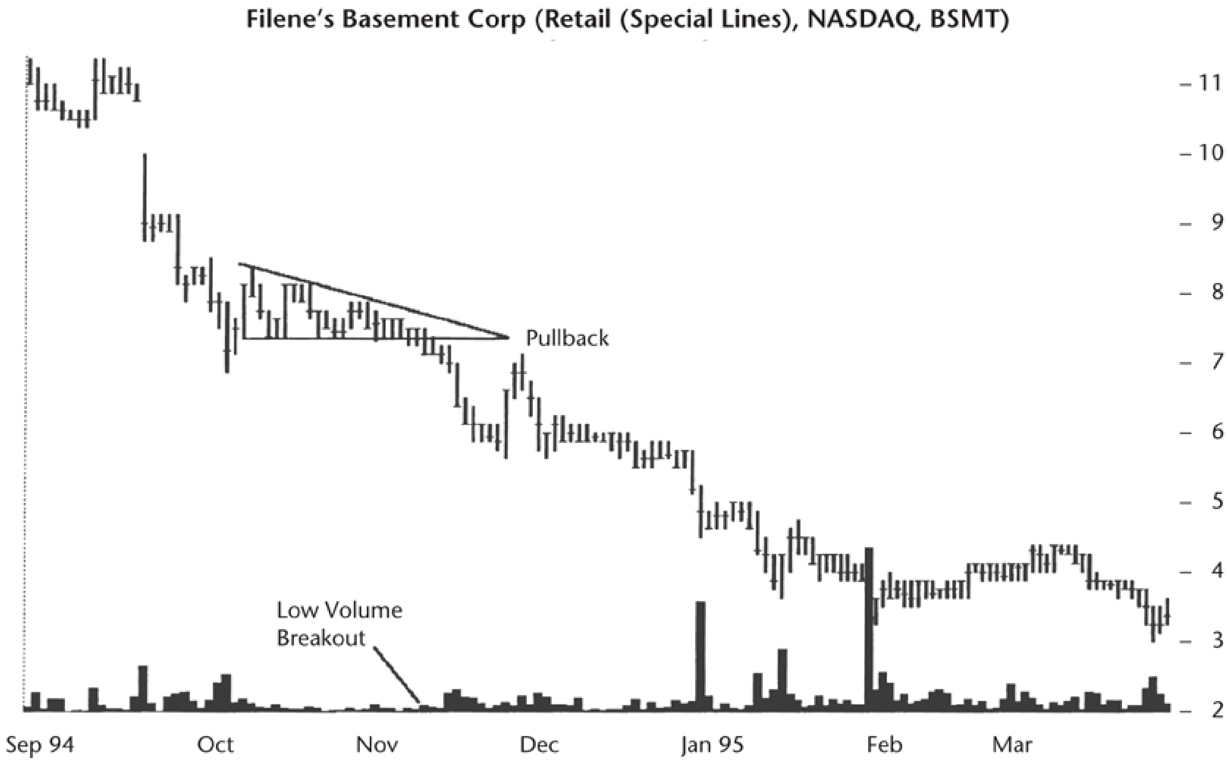

Figure 65.1 A nicely formed descending triangle with unusual volume pattern. Typically, volume trends downward and is quite low just before the breakout. Also shown is a pullback, repulsed by the horizontal resistance level.

Why do descending triangles form? The descending triangle shown in the figure begins forming in October 1994 as part of a consolidation in a downward trend. Imagine you believe the fair value of this stock is 7.38 but is overvalued above that. You tell your broker to buy the stock should it fall to 7.38. After reaching a minor high at 8.38 on 11 October, the stock begins declining for a few days. It descends and reaches the buy price 2 days later. Your broker buys the stock.